18. INCOME TAXES

The geographical allocation of earnings (loss) before income taxes and minority interest for the years ended December 31, 2003, 2002 and 2001, are as follows:

	2003	2002	2001
EARNINGS (LOSS) BEFORE INCOME TAXES AND MINORITY INTEREST			
Canada	$ (6,528)	$ (1,182)	$ (68,232)
United States	75,240	32,242	(331,585)
Other countries	43,374	46,292	11,397
	$112,086	$77,352	$(388,420)

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NOTES TO CONSOLIDATED FINANCIAL STATEMENTS—(continued)

18. INCOME TAXES (continued)

	2003		2002		2001	
	CURRENT	DEFERRED	CURRENT	DEFERRED	CURRENT	DEFERRED
INCOME TAX EXPENSE (RECOVERY)						
Canada	$ 182	$ (2,451)	$ 66	$ (160)	$ 469	$ 54
United States	3,604	(9,913)	25,931	(27,879)	189	(36,826)
Other countries	3,841	795	3,585	266	2,933	379
Withholding taxes	598	—	663	—	610	—
	$ 8,225	$ (11,569)	$ 30,245	$ (27,773)	$ 4,201	$ (36,393)

The significant components of the deferred income tax expense (recovery) are as follows:

	2003	2002	2001
DEFERRED INCOME TAXES			
Depreciation	$ 1,000	$ (1,940)	$ (459)
Pensions	(1,199)	1,615	(36,493)
Unearned revenue	2,141	2,421	—
Postretirement benefits	(411)	374	—
Restructuring	(3,901)	18,566	—
Tax benefit of loss carryforward	(6,704)	(42,350)	—
Other	(2,495)	(6,459)	559
	$(11,569)	$(27,773)	$(36,393)

Temporary differences and tax loss carryforwards, which give rise to deferred income tax assets and liabilities, are as follows:

	2003	2002
DEFERRED INCOME TAX ASSETS		
Postretirement benefits	$101,434	$ 93,647
Tax benefit of loss carryforwards	117,696	142,739
Pensions	23,373	9,235
Restructuring	19,430	20,062
Other	77,625	62,162
	339,558	327,845
Valuation allowance	(78,016)	(113,917)
	$261,542	$ 213,928
DEFERRED INCOME TAX LIABILITIES		
Depreciation	$ 87,639	$ 36,127
Pensions	78,812	79,135
Other	138,847	25,482
	$305,298	$ 140,744
Net deferred income tax (liability) asset	$ (43,756)	$ 73,184

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MOORE WALLACE INCORPORATED
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS—(continued)

18. INCOME TAXES (continued)

Distributed as follows:		
Current deferred income tax asset	$ 61,656	$31,912
Current deferred income tax liability	660	3,184
Long-term deferred income tax asset	2,438	53,938
Long-term deferred income tax liability	107,190	9,482

The effective rates of tax for each year compared with the statutory Canadian rates were as follows:

	2003	2002	2001
EFFECTIVE TAX EXPENSE (RECOVERY) RATE			
Canada:			
Combined federal and provincial statutory rate	36.4 %	38.4%	(41.6)%
Corporate surtax	1.1	1.1	(1.1)
Manufacturing and processing rate reduction	(3.2)	(4.0)	5.4
Expected income tax expense (recovery) rate	34.3	35.5	(37.3)
Tax rate differences in other jurisdictions	(5.0)	(8.0)	(2.2)
Losses for which a benefit (has) has not been provided—net	(31.4)	(27.2)	4.7
Restructuring costs	—	(0.4)	12.2
Impaired assets	—	—	6.4
International divestiture	—	(0.1)	5.4
Amortization and write-downs	—	1.0	3.0
Other	(0.9)	2.4	(0.5)
Effective tax expense (recovery) rate	(3.0)%	3.2%	(8.3)%

At December 31, 2003, the Corporation has non-capital tax loss carryforwards totaling approximately $287.0 million. Of this amount, a valuation allowance has been recorded against $157.0 million. Of the $157.0 million, approximately $106.0 million expires between 2004 and 2012 and $51.0 million has no expiration. In addition, the Corporation has recorded a valuation allowance against approximately $50.0 million of temporary differences that are available for utilization in future years. As a result of the Combination the Corporation expects to lose approximately $11.0 million of Canadian non-capital tax loss carryforwards, which have a full valuation allowance, set up against them. At December 31, 2003, the Corporation has Canadian capital loss carryforwards totaling approximately $55.4 million for which a full valuation allowance has been established. As a result of the Combination, the Corporation expects to be able to adjust the tax basis of certain assets by this amount.

The valuation allowance at December 31, 2003 and 2002 relates to net operating losses generated in the United States (2002 only), Canada, Latin America and Europe (which have limited carry-forward periods) and future deductible expense. The decrease (increase) in the valuation allowance of approximately $35.9 million, $53.0 million and $(103.0) million for 2003, 2002 and 2001, respectively, primarily relates to amounts recorded against deferred tax assets in the United States.

The Corporation has reduced the valuation allowance for a portion of its deferred tax assets to the extent that it believes, based on the weight of available evidence, it is more likely than not that those assets will be realized.